The Geography of Financial Advice and Retail Investor Demand in IPOs

How Quiet is the Quiet Period?

Daniel Bradley William Gerken Jared Williams

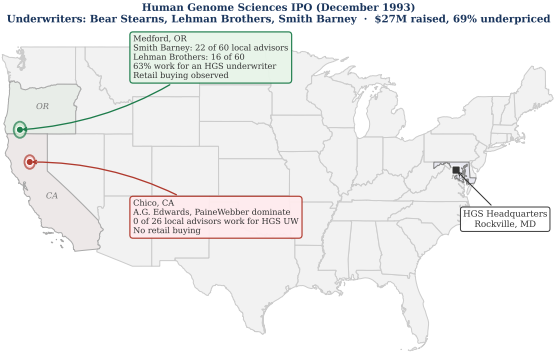
University of South Florida University of Kentucky University of South Florida

Kent State University
March 2026

Underwriters form opinions about IPOs — the quiet period says they can't share them

- When firms go public, underwriters form detailed views about the firm's prospects
  - Communicating those views to their advisor force *is central to how full-service brokerages operate*
- The **quiet period** restricts formal publication of those views
  - No research reports, price targets, or earnings forecasts (25 days in our sample)
- But advisors don't stop meeting with clients
  - Internal views still exist inside the firm
  - SEC: it cannot "promulgate an all-inclusive list of permissible and prohibited activities"
- **Do underwriter views reach retail investors through advisor networks?**
  - Prior work studied *public* QP channels: media (Bushee et al. 2020), peer-firm analysts (Alhusaini et al. 2025), firm disclosure (Dambra et al. 2024). We study a *private* one.

Human Genome Sciences IPO (December 1993)



Biopharmaceutical, Rockville, MD.
$27M raised, 69% underpriced.
UWs: Bear Stearns, Lehman, Smith Barney.

Medford, OR

Smith Barney & Lehman dominate:
38 of 60 local advisors (**63%**)
work for an HGS underwriter

Retail buying observed

Chico, CA

A.G. Edwards & PaineWebber dominate:
0 of 26 work for an HGS underwriter

No retail buying

A closer-to-home example — and the broader HGS pattern

- **Columbus, OH** and **Ann Arbor, MI**
  - Both Midwest university towns, both 300–400 miles from HGS headquarters
  - Columbus: ∼26% of local advisors worked for an HGS underwriter
  - Ann Arbor: fewer than 7% — home to the University of Michigan
  - Columbus had quiet-period buying; Ann Arbor **did not**

The broader pattern:

- Every quiet-period HGS purchase came from an area **with** underwriter advisors
- Among **144 metro areas** with no underwriter advisors: **zero purchases**

"The plural of anecdote is data." — Does this generalize across 1,355 IPOs?

Does this pattern generalize — and what is being transmitted?

- Does the geographic footprint of an underwriter's advisor workforce predict the geographic pattern of retail buying during the quiet period?
- And if so: does this association reflect the diffusion of underwriter *beliefs*, or merely *attention*?
- **Attention:** More underwriter-affiliated advisors $\rightarrow$ more local *awareness* of the IPO
  - Should not depend on what the underwriter thinks about the stock
  - Optimistic and pessimistic underwriters should generate similar buying
- **Beliefs:** Advisor networks are associated with the diffusion of the underwriter's *views*
  - Association should be strongest when the underwriter is optimistic
  - Weak or absent when the underwriter is pessimistic

Two predictions

- **Prediction 1:** Retail buying during the quiet period is higher in areas where a larger share of local advisors work for the IPO's underwriters

- **Prediction 2:** This relation is stronger when underwriters are optimistic than when they are pessimistic
  - Proxy: underwriter LTG forecasts issued *after* the quiet period
  - Not publicly available during the period we study — reflects beliefs formed during the underwriting process
  - If quiet-period buying tracks the *direction* of a future forecast, that is difficult to explain with attention alone

- **Important:** Our tests do not require that quiet-period rules be violated
  - Consistent with informal diffusion, enthusiasm, or advisor engagement

The 1990s: When advisors were the dominant retail channel

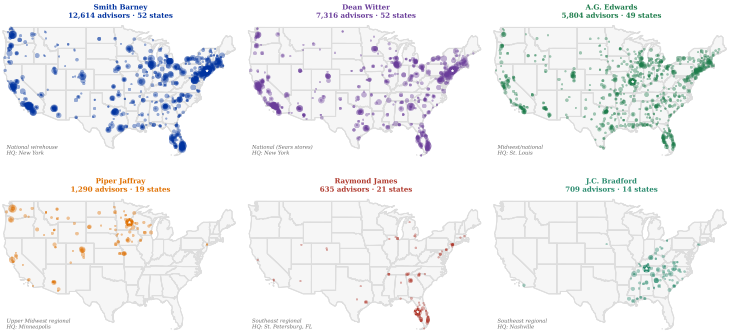
- **Quiet period was universal and fully enforced**
  - Pre-JOBS Act (2012): no "emerging growth company" exemptions
  - Every IPO subject to the same 25-day restriction
- **Financial advisors were the dominant retail information channel**
  - Pre-internet: no Yahoo Finance, no online message boards, limited CNBC
  - Retail investors learned about IPOs from their advisor, the newspaper, and word of mouth
- **Brokerages were geographically differentiated**
  - Pre-consolidation: Smith Barney, Dean Witter, PaineWebber, Lehman, A.G. Edwards, Piper Jaffray all operated independently with distinct regional footprints

These conditions make the 1990s ideal for empirical testing. Post-sample reforms (SOX, Global Settlement) built walls between *research and banking* — but 300,000 advisors still sit in branch offices, and the advisor channel was never addressed.

Where the Variation Comes From

Different underwriters had **strikingly different geographic footprints** in the 1990s.

Figure 5. Geographic Distribution of Financial Advisors by Underwriter (1995)



Note: Each dot represents a zip code; dot size proportional to number of registered advisors. Star marks largest office location.
The geographic variation across underwriters provides the identification: the same city has different exposure to different IPOs' underwriters.

Each dot = zip code; size $\propto$ advisors. FINRA Form U4 (1995).

All advisors, all firms →

Trading data comes from a brokerage unaffiliated with any underwriter

Retail trading data from a large discount brokerage (Barber and Odean, 2000).

- This brokerage is **unaffiliated with any IPO underwriter**
  - No advisory relationship ⇒ results cannot be mechanical
- "Households may have both retail and discount accounts" (B&O 2000)
  - Median HH held only 7% of net worth at this brokerage — 93% elsewhere
- Our estimates are a **lower bound** on the total retail response

Dual-account channel → Generalizability → Client segments →

Data and Sample

- **Retail trading:** Barber & Odean (2000) discount brokerage; 78K HHs, 158K accounts (1991–96); no UW, advisory, or research function; 365 CBSAs
- **Financial advisors:** FINRA Form U4 filings via FOIA requests to state regulators; 148 brokerage firms; advisor $\times$ zip $\times$ year
- **IPOs:** SDC New Issues; 1,355 US IPOs; avg. $35.8M proceeds, 2.5 underwriters
- **Analyst forecasts:** I/B/E/S LTG and EPS forecasts issued within 90 days post-QP; matched to Form U4 via name and career history
- **Misconduct:** Advisor: Dimmock et al. (2018) Form U4 complaints; Corporate: Karpoff et al. (2017) SEC enforcement
- **Unit of observation:** CBSA $\times$ IPO pair (365 $\times$ 1,355 = 494,575 pairs)
- Per-pair means are small by construction: median CBSA has 21 brokerage HHs; 0.006 buy transactions per pair on average

Empirical specification

$$\text{Buying}_{ij} = \beta_1 \textit{ UW Local Advisors}_{ij} + \beta_2 \textit{ Distance}_{ij} + \alpha_i + \gamma_j + \varepsilon_{ij}$$

- Three dependent variables: buy transactions, dollar value, distinct households
- *UW Local Advisors*: share of CBSA j's advisors at IPO i's underwriters (standardized)
- α_i: IPO fixed effects — absorb *all* IPO-level variation
  - Includes underwriter identity, IPO size, sector, underpricing, national attention
- γ_j: CBSA fixed effects — absorb *all* city-level variation
  - Population, wealth, trading propensity, number of brokerage HHs
- Identification from variation *within* a given IPO across cities, and *within* a given city across IPOs
- Standard errors clustered by IPO

Variable definitions →

Endogenous geography →

Why these fixed effects matter

- **Endogenous geography concern:** Underwriters don't place offices randomly
  - Smith Barney has advisors in certain cities; those cities may trade more
  - Without FE, this creates a spurious correlation
- **IPO FE absorb this:** For a given IPO, the fact that Smith Barney underwrote it is held constant — we compare cities with more vs. fewer Smith Barney advisors
- **CBSA FE absorb city characteristics:** New York trades more than Medford for every IPO — absorbed by the CBSA FE
- **Identifying variation:** *Does Medford buy disproportionately more of this Smith Barney IPO, holding constant Medford's average trading and Smith Barney IPOs' average trading?*
- The same city–underwriter pair produces different associations depending on the specific IPO $\Rightarrow$ time-invariant city–underwriter matching cannot explain the results

Retail buying is higher where underwriters have local advisors

Table 2

	Buy Trans.	Dollar Value	Distinct HHs
UW local advisors	0.0010***	4.18*	0.0009***
	(3.96)	(1.69)	(4.04)
Distance to HQ	−0.0010***	−10.56***	−0.0008***
	(−8.05)	(−4.35)	(−8.10)
Effect / mean DV	**17.5%**	**7.6%**	**18.0%**
IPO FE, CBSA FE	Yes	Yes	Yes
N	494,575	494,575	494,575

- +1 SD advisor presence ⇒ **+17.5%** buying relative to mean
- Participation measures strongly significant; dollar value marginally so ($t = 1.69$)
- Effect is entirely **extensive margin**: whether someone buys ($t = 4.41$), not how much ($t = 0.57$)
- Magnitude comparable to a 100-mile change in distance to HQ
- Bookrunner vs. non-lead: no difference — operates through entire syndicate

Where does the effect load?

- **Present broadly** (Tables 3–4): large/small CBSAs, large/small IPOs, prestige/non-prestige UWs
- **Strongest for hot IPOs** (underpricing $>$ sample median of 7.5%)
  - Hot: 0.0025*** ($t = 4.27$); Cold: 0.0000 ($t = 0.45$)
  - When investor attention and trading intensity are elevated, advisor networks matter more
- **Stronger for small IPOs**
  - Less nationally visible — local advisor networks are relatively more important
- Not driven by top-tier underwriters alone

These patterns are consistent with either attention or beliefs. To distinguish the two, we need to look at the *direction* of underwriter opinions.

Full hot/cold table →

Post-QP forecasts reveal underwriter optimism or pessimism

- Not all discussion about IPO firms is banned during the quiet period
  - Firms and underwriters can make statements of fact
  - The baseline results are consistent with the flow of *factual information* — not necessarily opinions
- The sharper question: does the association reflect underwriter *opinions* about value?
- **Proxy:** Underwriter LTG forecasts, published *after* the quiet period
  - Not publicly available during the period we study
  - Reflect beliefs formed during the underwriting process
- **Why LTG rather than recommendations?**
  - BJR (2003): nearly all UW analysts issue "Buy" immediately post-QP
  - Recs have almost no cross-sectional variation; LTG is **continuous**
- Classify post-QP LTG as *optimistic* (above industry-year median) or *pessimistic*

The association is concentrated among coverage initiators

We decompose the advisor-geography association by what the underwriter does after the quiet period (Table 7):

1. *UW local advisors* — underwriters who **don't initiate coverage**
   → 0.0001, insignificant
   - Underwriter affiliation alone does not predict buying

2. *UW LA with EPS forecasts* — underwriters who **do** initiate coverage
   → **0.0007****
   - Concentrated among underwriters that subsequently reveal views

It is not the *presence* of an underwriter's advisors that matters — it is whether that underwriter has views it will later publish. Can we go further and distinguish *optimistic* from *pessimistic* views?

Buying tracks optimistic underwriters, not pessimistic ones

Within coverage initiators, we sort by the direction of the underwriter's post-QP LTG forecast (Table 7):

- *Optimistic LTG*: **0.0008*****
- *Pessimistic LTG*: 0.0001, insignificant

- Alt. spec (col. 2): optimistic coefficient captures incremental effect over pessimistic (0.0008**)
- Direct Wald test opt = pess: $p = 0.065$

Consistent across all three dependent variables (Table 7, cols. 1–6).

Why This Is Difficult to Explain with Attention

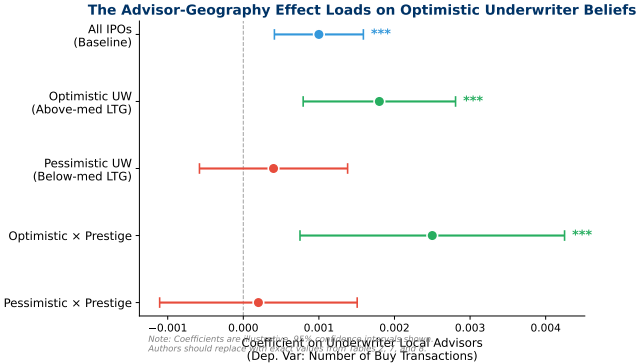
1. **Timing:** The LTG forecast is not public during the quiet period
   - Quiet-period buying at an *unaffiliated* brokerage is associated with a future analyst action
2. **Reverse causality is implausible**
   - Retail trading at one discount brokerage cannot drive the analyst's LTG forecast
   - The forecast reflects beliefs formed during underwriting due diligence
3. **No time-invariant story works**
   - The same underwriter–city pair produces different associations depending on what the underwriter believes about *this particular IPO*
   - A fixed city–underwriter correlation cannot generate this asymmetry

The optimism channel operates through prestigious underwriters

- The optimism pattern is concentrated among **high-prestige underwriters** (Table 8)
  - *UW LA with EPS (prestige)*: 0.0007* ($t = 1.85$)
  - *UW LA with optimistic LTG (prestige)*: 0.0008** ($t = 2.08$)
  - Non-prestige: 0.0002 ($t = 0.89$), 0.0004 ($t = 1.51$)
- *UW local advisors* (no coverage): ≈ 0 regardless of prestige
  - Affiliation alone does not matter — it is beliefs that matter
- **Why prestige matters:**
  - High-prestige firms have stronger internal research capacity
  - Their views may carry more weight within the institution
  - Retail investors and advisors may place greater weight on reputable underwriters' views

Prestige underwriter list →

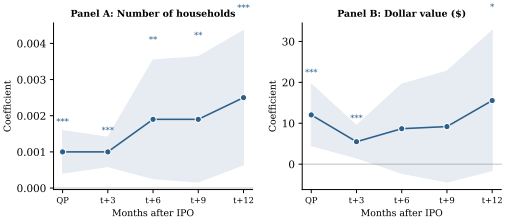
The optimism channel — visual summary



- The advisor-geography effect loads entirely on **optimistic** underwriters
- Pessimistic underwriters have advisors too — but no association with buying
- The pattern is amplified by underwriter prestige

The association persists up to 12 months post-IPO

Figure 3. Effect of Underwriter Local Advisors on Retail Holdings Over Time



- Advisor-geography association predicts retail **ownership** up to 12 months post-IPO (Table 5)
- Coefficient more than doubles from $t+3$ to $t+12$; dep. var. mean grows 119%
- Consistent with gradual diffusion through local networks (Brown, Ivković, Smith, Weisbenner 2008)
- Not speculative quiet-period flipping — these are **persistent holdings**

The effect is not explained by the firm's operational footprint

- **Alternative:** maybe UW advisors are located where the IPO firm has operations, and investors simply trade what they know
- **Operational connectedness** (Garcia & Norli 2012): does the IPO firm mention the CBSA's state in its first annual filing?
- **Result** (Table 6, Panel B):
  - Filing indicator predicts buying on its own — investors do trade more when the firm has local operations
  - But *UW LA* $\times$ *Filing* interaction is **insignificant**
- The advisor-geography effect operates **beyond** the firm's operational footprint
  - Not simply a reflection of investors trading familiar, locally-connected firms

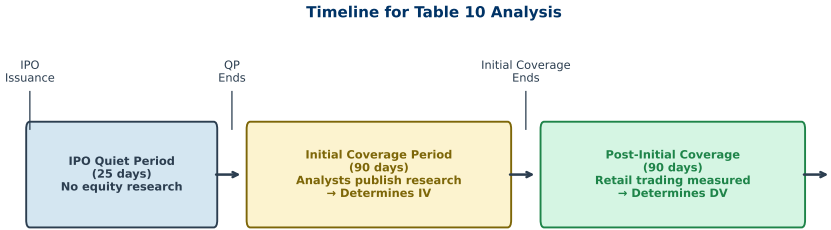
Effect is amplified where advisor misconduct is historically higher

- Advisor behavior varies across locations (Parsons et al. 2018; Dimmock et al. 2018; Clifford et al. 2025)
- If the association reflects active communication, it should be stronger where local advisory norms are more aggressive
- Two measures, 20 largest CBSAs (Table 9):
  - **Advisor misconduct**: Form U4 complaints (Dimmock & Gerken)
  - **Corporate misconduct**: SEC enforcement (Karpoff et al.)
- Results:
  - *UW LA* $\times$ *Advisor misconduct*: 0.0038* (buys), 0.0040** (HHs)
  - *UW LA* $\times$ *Corporate misconduct*: -0.0073 (buys), -0.0054 (HHs)
- The null on corporate misconduct is informative: amplification is specific to the *advisory* environment, not general high-misconduct areas

Advisor networks amplify the local bias, not broaden horizons

- **Does advisor presence help investors discover distant IPOs?**
  Or reinforce existing geographic biases?
- **Answer: Reinforcement** (Table 6)
  - Effect significantly **stronger** for geographically close IPO–CBSA pairs
  - Interaction *UW LA* $\times$ *Distance*: negative and significant ($t = 2.57$)
- **Interpretation:** Advisors are more engaged with offerings that have local relevance
  - Advisor networks **amplify** the local bias rather than broadening horizons
  - Information diffusion is shaped by what advisors and communities *care about*

What happens when formal research arrives?



- After the quiet period (25 days), analysts publish equity research (Table 10)
- We measure buying in the **post-initial coverage period** (days 116–206) as a function of local exposure to advisors at firms that *cover* the IPO
- Separate underwriter coverage from non-underwriter coverage
- Controls: quiet-period buying level, distance, IPO FE, CBSA FE

Underwriter coverage adds nothing once formal research is public

Table 10, Panel A

	Post-Coverage Buy Transactions
Local underwriter coverage	0.0010
Local non-UW coverage	0.0248**
Difference (non-UW − UW)	0.0239**

- Underwriter coverage adds **nothing** beyond what was already there
- Non-underwriter coverage *does* predict buying — genuinely new information
- If the association were time-invariant, UW coverage should matter *at least* as much
- It doesn't ⇒ consistent with UW views already reaching local areas during the QP

Post-QP optimism null →

What We Can and Can't Say

- **What the evidence shows:**
  - The geographic pattern of quiet-period retail buying is predicted by underwriter advisor presence
  - This association tracks the direction of future underwriter beliefs and is concentrated among prestigious underwriters
- **What we cannot observe:**
  - Actual advisor–client conversations, their content, or whether advisors explicitly discussed the IPO vs. created awareness through their presence
- **Alternatives we cannot fully rule out:**
  - Optimistic UWs may be more *active* generally — more client events, more enthusiastic advisors — generating attention that covaries with optimism
  - Against this: non-prestige UWs also have advisors and events, yet show no effect
  - Against this: if it were general activity, UW advisor attention should not become redundant when formal research arrives — yet Table 10 shows it does

Attention stories discussion →

Conclusion

- **Advisor geography predicts retail IPO demand during the quiet period**
  - Magnitude comparable to the local bias; persists into ownership up to 12 months
  - Measured at an unaffiliated brokerage — a lower bound on the total association
- **The association tracks underwriter beliefs, not just attention**
  - Concentrated among optimistic, prestigious UWs; amplified where misconduct is higher
- **The channel is quiet-period-specific**
  - UW coverage adds nothing post-QP; non-UW coverage does
- **Post-sample reforms never addressed this channel**
  - SOX and the Global Settlement built walls between research and banking
  - 300,000 advisors still sit in branch offices — that channel remains open

Appendix

Endogenous Geography

- IPO fixed effects absorb all IPO-level variation — including which underwriters are involved and their overall prestige
- CBSA fixed effects absorb all city-level variation — including wealth, population, number of brokerage households
- Identifying variation: for a *given* IPO, do cities with more of *this* IPO's underwriter advisors have more buying, relative to cities with fewer?
- The same city–underwriter pair produces different associations depending on the specific IPO $\Rightarrow$ time-invariant city–underwriter matching cannot explain this

← Back to specification

Can You Rule Out All Attention Stories?

- Honest answer: no, we cannot fully rule this out
- But several features make pure attention unlikely:
  - The *asymmetry*: pessimistic underwriters also have advisors, also have client events — but no association
  - The *prestige* concentration: if it were general activity, non-prestige firms should show it too
  - The *Table 10* result: underwriter coverage adds nothing post-QP, but non-underwriter coverage does
- Our position: the evidence is most naturally interpreted as the diffusion of beliefs, but we present it as properties of a geographic association and let the reader assess

← Back to What We Can and Can't Say

Generalizability

- **Why the 1990s are empirically cleaner**
  - Advisors were the dominant retail channel (pre-internet)
  - Brokerages were geographically differentiated (pre-consolidation)
  - Quiet period was universal (pre-JOBS Act 2012)
- **Post-sample regulation left the advisor channel untouched**
  - SOX (2002), Global Settlement (2003), Reg AC (2003): built walls between *research and banking*
  - None addressed 300,000 advisors in branch offices who still hear the firm's views through morning huddles, internal research, and model portfolios
- **Information restrictions are ubiquitous, not IPO-specific**
  - Earnings blackouts, M&A confidentiality, MNPI policies — each creates the same dynamic
  - Recent work using smartphone geolocation suggests that even confidential SEC investigations leave traces in trading data — a similar dynamic with modern data

← Back to data

The Dual-Account Channel

- "Households may have both retail and discount accounts" (B&O 2000)
- B&O (2001, Table I):
  - Median HH: 6.7% of net worth in equities at the discount brokerage
  - Mean income ∼$75K; median net worth ∼$100K (1990s dollars)
- B&O (2000): "unobserved assets such as equities at other brokerage firms"
- Commission migration was common in the 1990s: advice at full-service, execution at discount
- The channel may be quite direct: advisor tells client → client executes at discount account
- Or indirect: advisor activity generates local buzz → community-level awareness
- Either way, our estimates capture only a fraction of the total association

← Back to brokerage

Brokerage Client Segments

Segment	HHs	Accounts
Active Trader (>48 trades/yr)	6,000	19,427
Affluent (>$100K equity)	12,000	32,008
General Brokerage	60,000	106,599
Total	**78,000**	**158,034**

- ∼2 accounts per HH at this brokerage alone
- Affluent segment (15%) most likely to maintain concurrent full-service relationships

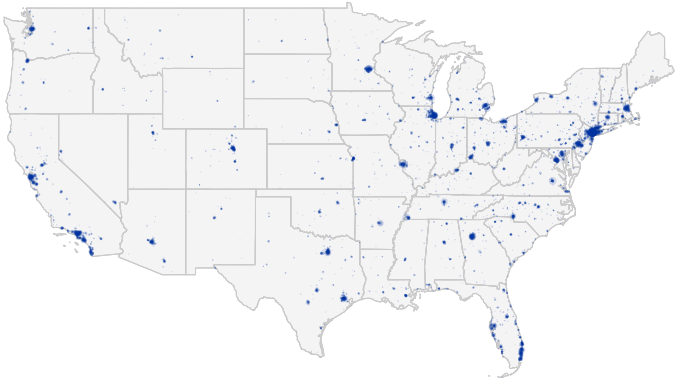
Variable Definitions

Variable	Definition
UW local advisors	Share of CBSA's advisors at IPO's UWs; standardized
Distance to HQ	Hundreds of miles, CBSA to IPO HQ
UW LA optimistic LTG	Share at UWs with above-median LTG post-QP
Local UW coverage	Share at UWs issuing EPS forecast in initial coverage period
Advisor misconduct	Form U4 complaints; CBSA level; standardized
Corp. misconduct	Karpoff et al. SEC enforcement; standardized

← Back to specification

All Advisors, All Firms (1995)

Figure 6. Geographic Distribution of All Financial Advisors (1995) Across Underwriters in Sample



All advisors at all 148 sample firms. FINRA Form U4 data via state FOIA requests.

Related Literature

Information channels during the quiet period

- BJR (2003 JF, 2008 RFS): analyst coverage *initiations* after the QP expires
- Bushee, Cedergren, Michels (2020 JAE): media coverage drives attention-based retail buying
- Alhusaini, Call, Chapman (2025 RAS): peer-firm analyst revisions inform institutional (not retail) trading
- Dambra, Schonberger, Wasley (2024 RAS): firm pre-IPO voluntary disclosure builds visibility
- All of these are *public* channels. We study a private one: the advisor workforce.

Network effects and information diffusion

- Di Maggio et al. (2019 JFE): information flows on broker *trading desks* among institutional clients
- Cohen, Frazzini, Malloy (2010 JF): school ties among analysts and executives
- Bajo et al. (2016 JFE): underwriter networks shape investor attention and IPO outcomes
- These papers study the *institutional* side of the brokerage. We study the retail-facing side.

Financial advisors

- Foerster et al. (2017 JF), Linnainmaa et al. (2021 JF): advisor influence on client portfolios
- Dimmock & Gerken (2018 JF), Clifford, Ellis, Gerken (2025 RFS): misconduct and institutional context
- This literature treats advisors as separate from the information-production side of the firm.

What this paper adds

- **A new channel during the quiet period**
  Prior work studied media, peer analysts, and firm disclosure — all public. We study the advisor workforce: the most direct pathway from underwriting bank to retail investor.

- **A link between research/banking and the retail-facing advisor force**
  Network papers focus on trading desks and analyst ties. The advisor workforce has not been connected to the information-production side of the firm.

- **Directional content, not just attention**
  Media drives symmetric attention (Bushee et al.). Our optimism decomposition shows the association tracks the *direction* of underwriter beliefs.

- **A channel that becomes redundant when formal research arrives**
  UW coverage adds nothing post-QP; non-UW coverage remains significant. This partial placebo is new to the quiet-period literature.

“High Prestige” Underwriters (Loughran & Ritter 2004)

Alex. Brown & Sons
Bear Stearns
Credit Suisse First Boston
Dean Witter Reynolds
Deutsche Bank Capital
Dillon Read
Donaldson Lufkin & Jenrette
Goldman Sachs
Hambrecht & Quist
J.P. Morgan
Kidder Peabody
Lehman Brothers
Montgomery
Morgan Stanley
NatWest
Nomura Securities
Oppenheimer
PaineWebber
Robertson Stephens
Salomon Brothers
Sanford C. Bernstein
Smith Barney Shearson
UBS
Wertheim Schroder

Carter–Manaster ranking $\geq$ 8 on 1–9 scale, based on placement in IPO prospectus.

← Back to prestige results

Rationale for the Quiet Period

Potential conflicts of interest from IPO underwriting:

- Banks might promise optimistic research in exchange for underwriting business
- Share opinions to affect the stock price before the market reaches equilibrium
- Provide important information to some clients but not others

Regulators' solution:

- Mandatory "quiet period" restricting predictions, projections, forecasts, estimates, or opinions regarding the value of the IPO stock
- SEC release 33-5180: "care should be exercised" regarding such communications
- FINRA rule 2241.b.1: manage conflicts related to "the interaction between research analysts and those outside of the research department, including investment banking and sales and trading personnel"

Hot vs. Cold IPOs (Table 3, Panel C)

	Hot IPOs ($\geq 7.5\%$)			**Cold IPOs** ($< 7.5\%$)		
	Buys	\$ Value	HHs	Buys	\$ Value	HHs
UW local adv.	0.0025***	13.28**	0.0022***	0.0000	−0.75	0.0001
	(4.27)	(2.37)	(4.22)	(0.45)	(−1.14)	(0.97)
N	243,455			249,660		
Mean DV	0.0093	95.46	0.0081	0.0023	15.44	0.0021

- The association is concentrated among hot IPOs — no significant effect for cold IPOs
- Consistent with advisor networks mattering more when investor attention and trading intensity are elevated

← Back to cross-sections

Does UW Optimism Predict Post-QP Buying?

- After formal research is published, does underwriter *optimism* still predict local buying through the advisor network?
- **No.** In the post-initial-coverage period (days 116–206):
  - UW Optimistic LTG: $t = 0.90$ (transactions), $t = 1.03$ (households)
  - UW EPS coverage: $t \approx 0$ across all DVs
  - Non-UW EPS coverage: $t = 2.21$ (transactions), $t = 2.03$ (households)
- **Interpretation:** Once formal research is public, the informal geographic channel for transmitting *beliefs* becomes redundant
  - Non-underwriter coverage still matters — it represents genuinely new information
  - Underwriter views have already reached local areas during the quiet period
- Consistent with the Table 10 partial-placebo result

← Back to Table 10

Extensive vs. Intensive Margin

- **Does UW advisor presence affect whether someone buys, or how much?**
- Extensive margin (indicator for any buying): $t = 4.41$, $N = 494{,}575$
- Intensive margin (\$ value conditional on buying > 0): $t = 0.57$, $N = 1{,}450$
- **The effect is entirely extensive margin**
  - Advisor networks affect whether a household enters a position
  - Conditional on buying, advisor presence does not predict investment size
- This explains the dollar value weakness in Table 2 ($t = 1.69$)
  - Dollar value mixes extensive and intensive margins
  - Participation measures (transactions, households) isolate the extensive margin — strongly significant

← Back to baseline results